Mark Scheme (Predicted)

HARD

Pearson Edexcel International GCSE

in Economics (4EC1) Paper 01

Paper 1: Microeconomics and Business Economics

General Marking Guidance

• All candidates must receive the same treatment.

• Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.

• Examiners should mark according to the mark scheme, not according to their perception of where grade boundaries may lie.

• All marks on the mark scheme are designed to be awarded. Award full marks if the response matches the mark scheme; award zero if the response is not worthy of credit.

• Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Question number	Which one of the following values shows price elastic supply? **Answer**	Mark
1(a)	**AO1 1 mark** The only correct answer is: **D 2.5** A is not correct because this is perfectly inelastic supply B is not correct because this is price inelastic supply C is not correct because this is unitary elasticity of supply	**(1)**

Question number	Minimum wage of €9.20 per hour, 36 standard hours plus overtime at 1.5×; worker does 40 hours. Total wage is: **Answer**	Mark
1(b)	**AO2 1 mark** The only correct answer is: **C €386.40** Working: (36 × €9.20) + (4 × €9.20 × 1.5) = €331.20 + €55.20 = €386.40 A is not correct because this assumes all 36 hours with no overtime B is not correct because this assumes 40 hours at the standard rate only D is not correct because this is 40 hours at 1.5× the standard rate	**(1)**

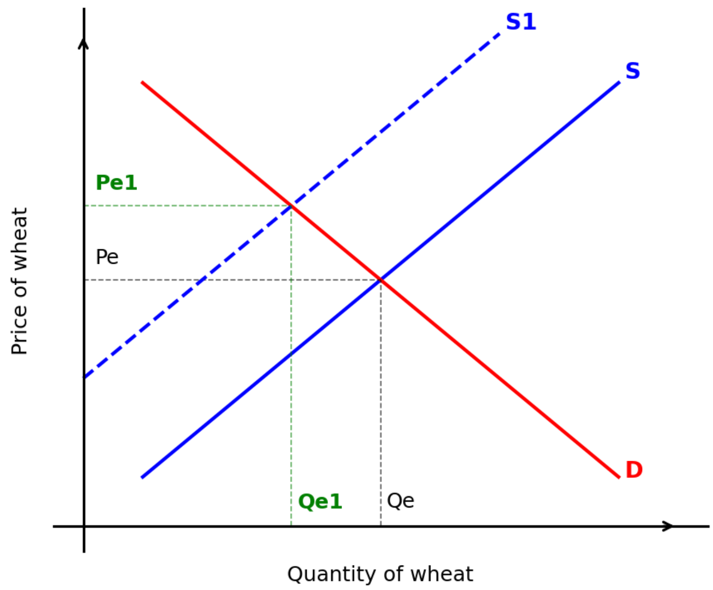
Question number	What is meant by the term market economy? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition An economy in which the forces of demand and supply (1) determine the allocation of resources, with little or no government intervention (1) Accept any other appropriate response	**(2)**

Question number	State one example of an occupation in the secondary sector. **Answer**	Mark
1(d)	**AO1 1 mark** • Factory worker / Car assembly worker / Construction worker / Baker / Garment maker Accept any other appropriate response	**(1)**

Question number	Define the term public sector. **Answer**	Mark
1(e)	**AO1 1 mark**	**(1)**

	The part of the economy that is owned/controlled by the government/state Accept any other appropriate response	

Question number	Calculate the cross elasticity of demand (XED) between butter and margarine. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 14% ÷ 8% (1) Award 1 mark for correct XED = 1.75 (1) Award 2 marks if XED is correctly calculated as 1.75, even if no calculations are shown Do not award marks for the formula alone	**(2)**

Question number	Effect on the wheat market if poor weather damages the harvest. **Answer**	Mark
1(g)	 **AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled (e.g. S1) Award 1 mark for a higher equilibrium price, labelled (e.g. P1) Award 1 mark for a lower equilibrium quantity, labelled (e.g. Q1)	**(3)**

Question number	Explain one possible opportunity cost for Priya of this decision. **Answer**	Mark
1(h)	**AO2 3 marks**	**(3)**

	Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the salary Priya forgoes (1). She gives up $48,000 per year for two years, which is $96,000 she could have earned (1). This is the next best alternative sacrificed by choosing to study (1) Accept any other appropriate response, e.g. experience lost, career progression missed	

Question number	Analyse two possible factors influencing Nguyen Coffee's decision to expand production. **Indicative content**
1(i)	**AO2 (3 marks) / AO3 (3 marks)** • Factors influencing the growth of firms include desire to spread risk, access to finance, economies of scale, demand for the product, and availability of factors of production. • Rising European demand means more orders for Nguyen Coffee — expansion would allow the firm to meet this demand and increase sales revenue. • Record orders in 2024 suggest that the firm now has access to finance (either from retained profits or loans) with which to lease a new processing plant. • Expanding capacity would allow Nguyen Coffee to benefit from economies of scale — e.g. bulk-buying of beans — lowering average costs per kilo exported. • However, the availability of skilled coffee-processing workers in Vietnam will affect whether hiring more workers is realistic. • The firm may also wish to spread risk by not relying on a single plant, so that if one plant is affected by problems, production can continue elsewhere.

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories

Level	Mark	Descriptor
		and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Which one of the following diagrams shows the effect of a specific indirect tax? **Answer**	**Mark**
2(a)	**AO2 1 mark** The only correct answer is: **A Leftward shift of the supply curve, higher equilibrium price, lower equilibrium quantity** B is not correct because this shows the effect of a subsidy C is not correct because this shows a fall in demand D is not correct because this shows a rise in demand	**(1)**

Question number	Which one of the following is a feature of an oligopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **B A few large firms dominate the market** A is not correct because this describes perfect competition C is not correct because oligopolies often sell differentiated products D is not correct because oligopolies typically have high barriers to entry	**(1)**

Question number	Calculate, to two decimal places, the PES given a 12% price rise and a 9% rise in quantity supplied. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing correct calculation 9% ÷ 12% (1) Award 1 mark for correct PES = 0.75 (1) Award 2 marks if PES is correctly calculated as 0.75, even if no calculations are shown Do not award marks for the formula alone	**(2)**

Question number	What is meant by the term private costs? **Answer**	**Mark**
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The costs paid/borne by an individual or firm (1) when producing or consuming a good/service (1) Accept any other appropriate response	**(2)**

Question number	Describe one feature of perfect competition. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development A large number of small firms (1) each with no market power (1) OR Homogeneous / identical products (1) so firms cannot differentiate and must accept the market price (1) OR No barriers to entry or exit (1) so firms can freely enter when short-run profits exist (1) Accept any other appropriate response	**(2)**

Question number	Explain one reason why Samir may want to switch to ethical suppliers rather than maximise profits. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Samir may prioritise corporate social responsibility (1). Using ethical local suppliers improves the firm's reputation (1) which, despite higher costs that reduce profit, may attract socially conscious consumers (1) • Samir may seek long-term sustainability (1). Paying more to local suppliers builds reliable supply chains (1) even though it reduces short-run profit at the store (1) Accept any other appropriate response	**(3)**

Question number	Assess the effectiveness of an indirect tax in reducing the consumption of sugary drinks. **Indicative content**
2(g)	**AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks)** • An indirect tax increases the cost of production and shifts the supply curve to the left, raising price and reducing equilibrium quantity. • Sugary drinks generate negative externalities (e.g. obesity, diabetes) so the tax helps internalise these social costs. • In Mexico, the 1-peso-per-litre tax led to a 7.6% fall in sales of taxed drinks in the first two years, showing the policy was initially effective. • The fall was larger for low-income households, which is helpful because these groups tend to be more at risk of diet-related illness. • The tax also encouraged producers to reformulate products with less sugar,

	reducing the underlying cause of the externality. • Therefore, indirect taxation has been reasonably effective in reducing consumption and shifting producer behaviour. • AO4 • However, demand for sugary drinks may be price inelastic, especially for addicted or habitual consumers, so the tax has a limited effect on quantity demanded. • Consumption is reported to have rebounded, suggesting the tax alone is not a long-run solution. • The tax is regressive — it takes a larger share of income from poorer households, worsening inequality. • Firms may pass only part of the tax on to consumers, weakening the price signal. • Complementary policies such as education, advertising restrictions and subsidies for healthier alternatives may be needed to be fully effective.

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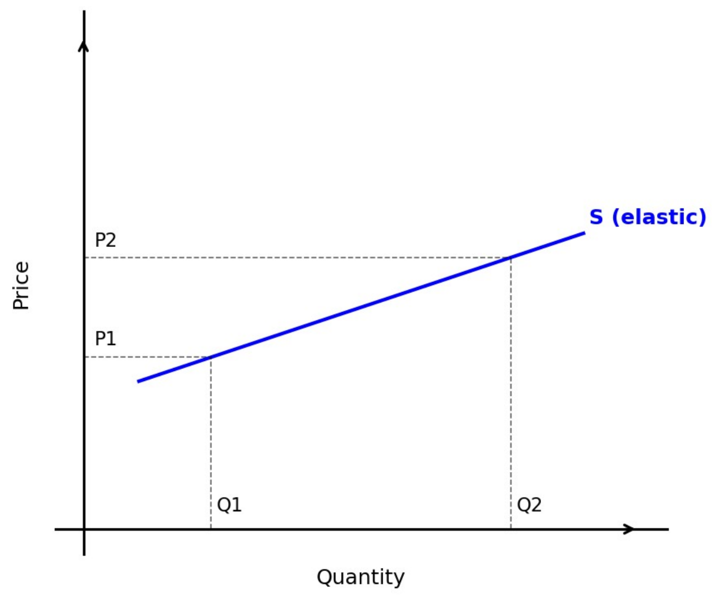
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Question number	Which most likely causes an increase in demand for labour? **Answer**	Mark
3(a)	**AO1 1 mark** The only correct answer is: **B The demand for the firm's final product** A is not correct because higher wages reduce the demand for labour C is not correct because higher training costs discourage firms from hiring D is not correct because the school-leaving age affects the supply of labour	**(1)**

Question number	Which one of the following is the formula to calculate average cost? **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B Total cost ÷ quantity produced** A is not correct because multiplying does not give average cost C is not correct because this gives profit D is not correct because this does not give average cost	**(1)**

Question number	Draw a price elastic supply (PES) curve. **Answer**	Mark
3(c)	 **AO2 3 marks** Award 1 mark for drawing a relatively flat / elastic supply curve, labelled (e.g. S) Award 1 mark for showing a smaller change in price on the price axis	**(3)**

	Award 1 mark for showing a larger change in quantity on the quantity axis	

Question number	Analyse the possible advantages for BMW of using capital-intensive production at the Regensburg factory. **Indicative content**
3(d)	**AO2 (3 marks) / AO3 (3 marks)** • Capital-intensive production uses more machinery and technology relative to labour in the production process. • Robots at Regensburg allow BMW to produce 300,000 vehicles per year with high consistency and minimal human error, reducing defects. • Machines can run 24 hours a day, raising output and allowing fixed costs (e.g. the factory building) to be spread over more vehicles — lowering average cost. • Capital-intensive methods reduce reliance on labour for repetitive tasks; workers instead specialise in high-skill roles such as maintenance, raising productivity. • Lower average costs per vehicle may allow BMW to compete effectively with premium rivals such as Audi and Mercedes-Benz. • Automation can also improve working conditions by removing dangerous repetitive tasks, supporting staff retention among the 9,000 skilled workers.

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Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Assess whether demand is likely to be more price elastic for luxury cars than for petrol. **Indicative content**
3(e)	**AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks)** • Price elasticity of demand (PED) measures the responsiveness of demand to a change in price. • Luxury cars, such as Porsche and Ferrari, take up a large share of consumer income — a change in price represents a significant sum, making demand more responsive. • Luxury cars are not necessities; consumers can delay or switch to cheaper alternatives, making demand more price elastic. • Petrol, by contrast, is a necessity for drivers with internal combustion engine vehicles and has few close substitutes in the short run, making demand price inelastic. • Petrol is habitual and addictive in the sense that consumers must refuel regularly, so a small price change is unlikely to greatly alter demand. • So on these grounds, luxury cars are likely to have more price elastic demand than petrol. • AO4 • However, wealthy consumers of luxury cars may be less price-sensitive because the purchase represents a smaller share of their income and because of the status attached — this could make demand more price inelastic. • Brand loyalty to marques like Ferrari can make demand quite price inelastic for committed customers. • In the long run, demand for petrol becomes more price elastic as drivers switch to electric vehicles or more fuel-efficient cars. • The presence of EV subsidies has made petrol's substitutes more readily available, eroding the short-run inelasticity. • On balance, demand for luxury cars is generally more price elastic than demand for petrol, but the difference narrows over the long run and depends on the specific consumer group and brand.

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Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).

Level	Mark	Descriptor
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Question number	Calculate the weekly profit of the furniture workshop. **Answer**	Mark
4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation Total revenue = 80 × \$95 = \$7,600 Total costs = \$1,200 + (80 × \$35) = \$1,200 + \$2,800 = \$4,000 (1) Award 1 mark for correct profit Profit = \$7,600 − \$4,000 = \$3,600 (1) Award 2 marks if profit is correctly calculated as \$3,600, even if no calculations are shown Do not award marks for the formula alone	**(2)**

Question number	Analyse how external economies of scale may lead to benefits for Tata Steel. **Indicative content**
4(b)	**AO2 (3 marks) / AO3 (3 marks)** • External economies of scale are cost advantages that arise outside the firm, from the expansion of the industry or region in which the firm operates. • The Jamshedpur region has a well-trained workforce — Tata Steel can recruit skilled workers without paying high training costs, lowering its labour costs. • Specialist component suppliers are located locally, which reduces transport costs and allows faster, more reliable delivery of inputs. • Local research institutions generate innovation and shared knowledge about steel-making, lowering Tata Steel's R&D costs. • Clustering with other manufacturers also improves the local transport and logistics infrastructure, further reducing Tata Steel's average costs. • Lower average costs allow Tata Steel to price its steel competitively in global markets and to increase profit margins.

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	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with

Level	Mark	Descriptor
		some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Evaluate whether workers in South Africa are likely to benefit from the increase in the national minimum wage. **Indicative content**
4(c)	**AO2 (4 marks) / AO3 (4 marks) / AO4 (4 marks)** • A minimum wage is a legally enforced price floor on wages, set above the market equilibrium wage. • Raising the minimum wage from R27.58 to R32.00 directly increases the hourly earnings of low-paid workers who keep their jobs. • Higher wages raise the living standards of working families and can reduce in-work poverty in low-income communities. • Higher disposable income for workers may increase consumer spending on goods and services, boosting demand for firms in low-income areas. • A higher minimum wage can also reduce income inequality by narrowing the gap between low and middle earners. • Employers may also see benefits through higher worker motivation and lower staff turnover, reducing recruitment costs. • AO4 • However, firms facing higher wage costs may cut jobs, especially in small businesses and sectors with low profit margins. With unemployment already above 30% in South Africa, this is a serious concern. • Firms may respond to higher labour costs by raising prices, which erodes the real value of the wage rise for workers as consumers. • Firms may also accelerate investment in automation, replacing low-paid workers with machines and reducing overall employment in the long run. • Workers who lose their jobs clearly do not benefit — the gains are concentrated among those who remain employed. • The outcome depends on the level of the wage rise relative to the market wage, the price elasticity of demand for labour, and the enforcement of the rule. • On balance, employed workers who keep their jobs are likely to benefit, but the policy's success depends on whether it meaningfully reduces poverty without significantly raising unemployment. A smaller, phased increase may deliver gains with lower job-loss risk.

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A

Level	Mark	Descriptor
		judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).